Business ethics may be defined as a set of moral standards to be followed by owners, managers and business people. These standards determine the conduct and behaviour of business people. Business ethics reflects the conduct in the context of business.

Business Ethics

Business exists to supply goods and services to the people from social point of view but from individual point of view, the primary objective of any business unit is to make profit. The individual objective should not be in conflict with societal objective. These two objectives normally contradict each other, as one business enterprise may be good in individual objective and bad at societal objective and vice versa. This raises the question of what is right and what is wrong. The subject matter of ethics is concerned with establishing linkages between individual good and social good.

Ethical standards are often enacted into laws. For example charging fair prices to customers, using fair weights for measurement of commodities giving fair treatment to workers, earning reasonable profits etc.



All business units have realised that ethics is vitally important for the existence and progress of the business as well as the society. It is very important as it improves public image, earns public confidence, and leads to greater success. Ethics and profits go together in the long run. It enhances the quality of life, standard of living and business.

18.02 Key Elements Of Business Ethics

Some of the basic elements of business ethics while running a business enterprise are:

1. Top Management Commitment

Top management has a very important role to guide the entire organization towards ethical behaviour. The top level personnel in any organisation should work openly and strongly committed towards ethical conducts and guide people working at middle and low level to follow ethical behaviour.

2. Publication of a "Code"

Generally organisations formulate their own ethical codes for the conduct of the enterprise; it should followed by the employees of the organisation. The organisation principles are defined in the written document called code. The code of conduct covers various areas such as health and safety in the work place, fair dealing in selling and marketing activities, ethical practices in the business etc.

3. Establishment of Compliance Mechanism

To make sure that actual decisions match with a firm's ethical standards, suitable mechanism should be established. Any organisation following ethical codes in

Commerce 16-25.indd 180 10/12/2022 16:33:13